

Federal Poverty Level Guidelines

The 2026 federal poverty guidelines set a baseline annual income of for a single individual and for a family of four in the 48 contiguous states and Washington, D.C. These guidelines determine financial eligibility for various public assistance, health insurance, and social service programs.

2026 Federal Poverty Level

	Household size	1	2	3	4	5	6	7	8	9+
	48 contiguous states + DC	\$15,960	\$21,640	\$27,320	\$33,000	\$38,680	\$44,360	\$50,040	\$55,720	Add \$5,680 per additional person.
	Alaska	\$19,950	\$27,050	\$34,150	\$41,250	\$48,350	\$55,450	\$62,550	\$69,650	Add \$7,100 per additional person.
	Hawaii	\$18,360	\$24,890	\$31,420	\$37,950	\$44,480	\$51,010	\$57,540	\$64,070	Add \$6,530 per additional person.



*Federal Poverty Level guidelines are issued yearly by the U.S. Department of Health and Human Services

<https://ktla.com/news/local-news/angelenos-who-make-70650-a-year-are-considered-low-income-statewide-report-says/>

According to California income limit studies, a single individual earning approximately \$70,650 in Los Angeles County may still be classified as low-income due to the area's high cost of living. This illustrates the financial challenges many residents face when unexpected medical bills arise. As a result, patients may benefit from tools that help them understand eligibility for financial assistance programs, charity care, and payment plans.

Why FPL Matters for Healthcare Billing

Hospitals frequently use FPL percentages rather than raw income amounts when determining whether patients qualify for financial assistance. Instead of evaluating income alone, a hospital may compare a patient's income to the FPL for their household size.

Cedar Sinai financial Assistance Policy

1. Charity Care (Free Care)

Cedars-Sinai states that patients receiving medically necessary services whose income is at or below 400% of the Federal Poverty Level (FPL) may qualify for charity care without charge. This means a family of four earning \$120,000 could potentially still qualify for financial assistance because they are below 400% FPL.

The patient's income is 4 times the Federal Poverty Level for their household size.

Example 1: Single Person

2026 FPL for 1 person = \$15,960

Calculate 400%:

$$15,960 \times 4 = 63,840$$

2. Discounted Care

Patients whose income falls between 401% and 600% of FPL may still qualify for discounted payments. The discount amount depends on factors such as family size, income level, and insurance status.

3. Insurance Status Matters

Cedars-Sinai specifically mentions that discounts are determined based on:

- Family size
- Income level
- Insurance status

4. Only Certain Services Are Covered

The policy applies primarily to:

- Emergency care
- Medically necessary services

It generally does not automatically apply to every elective or non-emergency procedure.

5. Patients Must Apply

Financial assistance is not automatically granted.

Patients typically submit:

- Financial assistance application
- Income documentation
- Supporting financial records

Cedars then reviews the application and determines eligibility.

The AI is not deciding eligibility.

The AI's role is:

1. Gather patient information.
2. Calculate approximate FPL percentage.
3. Compare it to Cedars-Sinai policy rules.
4. Explain possible assistance options.
5. Direct the patient to apply.

Charity Care

Charity care is a hospital financial assistance program that reduces or completely forgives medical bills for patients who cannot afford to pay. The goal is to ensure patients can receive medically necessary healthcare regardless of their ability to pay.

For the AI Billing Agent:

Charity care = potential bill reduction or bill forgiveness based on financial circumstances.

Key Factors That Affect Charity Care Eligibility

The AI should understand that eligibility is usually based on:

Household Income

Most hospitals compare income against Federal Poverty Level (FPL) thresholds.

Examples:

- 200% FPL
- 300% FPL
- 400% FPL

1. Full Charity Care (100% Bill Forgiveness)

The hospital completely forgives the patient's bill.

Example

- Household income below a certain FPL threshold
- Uninsured patient
- Large emergency room bill

AI Scenario

Patient owes \$12,000 after an emergency visit and has a household income below 400% FPL.

Potential outcome:

- Full charity care eligibility review

2. Partial Charity Care

The patient pays only a portion of the bill.

Example

- Income exceeds full charity care threshold
- Still experiencing financial hardship

AI Scenario

Patient owes \$8,000 and may qualify for a reduced balance instead of paying the full amount.

3. Discounted Care for Uninsured Patients

Hospitals often provide discounts to patients without insurance.

Example

- No insurance coverage
- Medically necessary treatment

AI Scenario

Uninsured patient receives treatment and asks why the bill is so high.

AI explains:

- Uninsured discount programs
- Financial assistance application process

4. Underinsured Assistance

Patient has insurance but still faces a large balance.

Example

- High deductible
- Coinsurance
- Insurance denial

AI Scenario

Insurance paid part of the claim, but patient still owes \$6,000.

AI explains:

- Financial assistance may still be available

5. Catastrophic Medical Expense Assistance

Medical bills are extremely large compared to household income.

Example

- Major surgery
- Cancer treatment
- Extended hospitalization

AI Scenario

Household income = \$80,000

Medical bill = \$75,000

Even though income is not extremely low, the bill itself creates financial hardship.

6. Interest-Free Payment Plans

Not technically charity care, but often part of hospital financial assistance.

Example

- Patient does not qualify for discounts
- Cannot pay balance immediately

AI explains:

- Monthly payment options
- Application process

Eligibility Tiers

Eligibility tiers are the different levels of financial assistance a patient may qualify for based on factors such as income, household size, insurance status, and financial hardship. Many hospitals use FPL percentages to place patients into different assistance categories.

FPL Percentage	Potential Assistance
≤ 400% FPL	Full Charity Care
401%-600% FPL	Partial Discount
> 600% FPL	Payment Plan Options
Any FPL with catastrophic hardship	Special Review

Why This Matters for Our Project

Eligibility tiers provide the foundation for synthetic patient scenarios and allow the AI to guide patients toward possible assistance programs without making eligibility determinations

Payment Plans

Payment plans allow patients to pay medical bills over time rather than in one lump sum. Not every patient qualifies for charity care, but many hospitals offer payment plans to reduce financial burden.

Why Patients Use Payment Plans

- Large unexpected medical bills
- High insurance deductibles
- Temporary financial hardship
- Ongoing treatment expenses

Common Patient Questions

AI should be able to answer:

- Can I pay monthly?
- Is there interest?
- How long do I have to pay?
- What happens if I miss a payment?
- Can I apply even if I have insurance?

Example Synthetic Data Cases

Scenario	AI Response Goal
\$2,000 balance	Explain payment options
\$15,000 balance	Discuss longer-term payment plans
Insured patient with large deductible	Explain payment plans and financial assistance
Recent job loss	Discuss hardship options

Why This Matters for Our Project

Many patients do not qualify for free care but still cannot pay large bills immediately. Payment plans provide an alternative solution that the AI should be able to explain clearly.

Medical Debt Protections

California has laws designed to protect patients from unfair medical debt collection practices and to ensure they are informed about financial assistance opportunities before aggressive collection actions occur. The AI should help reduce confusion and direct patients toward available resources.

California Hospital Fair Pricing Act

The Fair Pricing Act requires hospitals to provide information about financial assistance and discounted payment programs to eligible patients.

AI Use Case

Patient asks:

"I can't afford this bill. What can I do?"

AI can explain:

- Financial assistance programs
- Charity care applications
- Payment plan options

Financial Assistance Before Collections

Hospitals generally must evaluate financial assistance opportunities before pursuing certain collection activities.

AI Use Case

Patient receives a collection notice and asks:

"Do I still have options?"

AI can explain that financial assistance programs may still be worth exploring.

Protection for Uninsured and Underinsured Patients

California provides additional protections for:

- Uninsured patients
- Patients with high deductibles
- Patients experiencing financial hardship

AI Use Case

Patient says:

"I have insurance but still owe \$7,000."

AI can explain that financial assistance may still be available.